

Department of Information and Communication Technology

Faculty of Technology

University of Sri Jayewardenepura

Module: Information Systems Strategy and T Governance

Case Study: IT Maturity Assessment at Ceylon AgroTech Pvt Ltd

Case Background

Ceylon AgroTech Pvt Ltd is a Sri Lankan agritech company founded in 2012 by two agricultural engineers who envisioned combining modern technology with traditional farming practices. The company designs and sells smart irrigation systems, soil monitoring sensors, and data analytics dashboards to help farmers optimize crop yield.

The company started as a small operation with 15 employees but has since expanded to over 180 staff across three branches: Colombo (Head Office), Kurunegala, and Anuradhapura. Despite its technological product focus, internal IT governance and business–IT alignment have developed informally and inconsistently.

Organizational Structure

Ceylon AgroTech has three key divisions:

1. Operations Division – Oversees supply chain, logistics, and support services.
2. Sales & Marketing Division – Manages client relationships, promotions, and retail partners.
3. Technical Development Division – Develops and tests new IoT devices and software platforms.

The IT Unit is part of the Operations Division, with 8 staff members led by an IT Manager (Mr. Ranil Perera). The team handles:

- Server and network maintenance
- ERP and database administration
- Helpdesk support
- Web and email services

However, strategic IT planning is minimal, and the IT team mostly reacts to operational issues rather than driving innovation.

Communication Between IT and Business

Formal communication between IT and other departments is rare.

- No regular IT–business meetings are held.
- Most communication happens only when a problem arises.
- When Sales launched an e-commerce portal last year, they outsourced development without consulting IT. The system could not integrate with the existing ERP, creating duplicate records.

There is goodwill between teams, and the IT Manager is considered approachable, but formal communication structures are missing, leading to misunderstandings and project inefficiencies.

Competency and Value Measurement

There are no Key Performance Indicators (KPIs) for IT. IT success is informally measured by the number of issues solved or systems kept online. There are no cost–benefit or ROI analyses for IT investments.

Although the IT Manager introduced a helpdesk ticketing tool to monitor issue response times, only a few departments use it consistently. Management views IT as a support function, not a source of strategic advantage.

Governance and Decision-Making

Ceylon AgroTech does not have a formal IT governance framework.

- There is no IT steering committee.
- IT policy documents exist only as internal notes; not board-approved.
- The Operations Manager controls the IT budget with minimal CEO oversight.
- Project selection is reactive — systems are purchased when problems arise.

A recent ERP upgrade project failed due to poor vendor evaluation and lack of governance oversight, resulting in financial loss and project delays.

Partnership and Strategic Alignment

The IT department is rarely involved in business strategy meetings. Business managers tend to view IT as a “technical service” rather than a partner. However, the IT Manager has started informal discussions with the Technical Development Division to integrate IoT data from customer farms into a shared analytics dashboard.

While this shows potential for alignment, these initiatives are not yet part of the official strategy or budget.

Scope and Architecture

Ceylon AgroTech uses fragmented systems:

- A partly implemented ERP for finance and inventory
- A CRM system used only in Colombo

- A basic HR system
- Excel sheets for project tracking

There is no enterprise architecture or data integration plan. Information is stored in multiple locations, causing errors and inefficiencies. The IT Manager proposed a cloud-based integration strategy, but the board declined due to cost and data security concerns.

Skills and Human Resources

IT staff are technically skilled but have limited exposure to strategic management. Business employees have minimal IT training and rely on IT staff for basic tasks such as report generation. There are no formal training or professional development programs for IT or business staff.

Employee turnover in IT is moderate, with some leaving due to lack of career progression. HR is considering new training initiatives, but no plan has yet been approved.

Management Concern

The CEO, Mr. Dilshan Abeyratne, recognizes that IT is crucial for the company's upcoming expansion into India and Australia.

He commented in a recent board meeting:

"We've built a tech-driven business but haven't managed our internal IT strategically. Before we grow further, we must understand where we stand in terms of IT maturity."

The Board has asked for an independent IT Maturity Assessment using Luftman's IT–Business Alignment Maturity Model to guide future strategic improvements.

Task

You are appointed as an IT Governance Consultant to assess the IT–Business alignment maturity of Ceylon AgroTech Pvt Ltd.

Using Luftman's IT Maturity Model, you must:

1. Assess the company under each of the six dimensions:

- Communication
- Competency / Value Measurement
- Governance
- Partnership
- Scope & Architecture
- Skills

2. Rate each dimension on a five-level scale:

- Level 1 – Initial / Ad hoc
- Level 2 – Committed / Repeatable
- Level 3 – Established / Defined

- Level 4 – Improved / Managed
 - Level 5 – Optimized
3. Justify your rating for each dimension using evidence from the case.
 4. Suggest actions or strategies to move the organization to the next maturity level.

Questions

1. What is the overall IT maturity level of Ceylon AgroTech according to Luftman's model?
2. Evaluate each of the six dimensions separately, providing your rating and justification.
3. Identify three key weaknesses that limit IT–Business alignment in the company.
4. Suggest three actionable recommendations to improve IT governance and maturity.
5. How could the organization benefit strategically from reaching Level 4 maturity?

References

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